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California bill to make internet platforms pay for news advances — with questions

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A California bill that aims to ease newspapers' internet-age woes by making Big Tech companies like Google and Facebook pay for the online articles their users access through their platforms advanced out of its first committee hearing Tuesday night, but not without lots of questions from lawmakers.

"A free and diverse press is the backbone of a healthy and vibrant democracy," Assemblywoman Buffy Wicks, an Oakland Democrat, told the Assembly Privacy and Consumer Protection Committee, which passed her bill on a 9-0 vote with two members abstaining. "These dominant companies are padding their profit margins with locally produced news without adequately compensating the originators of that content."

But while her colleagues on the committee supported the idea, they said it's going to need some work.

"I appreciate that a problem-solver legislator has agreed to tackle this," said Assemblyman Steve Bennett, a Democrat representing Oxnard. "The marketplace is a very hard place to try to regulate for an outcome. It's hard to do this, but it's important to try to do this. ... I'll support this, but at the same time, I have my eyes open about the ability to get to the goal."

Wicks' bill, AB 886, the California Journalism Preservation Act, comes after the December collapse in Congress of a similar federal bill, the Journalism Competition and Preservation Act, carried by U.S. Sens. Amy Klobuchar, a Minnesota Democrat, and John Kennedy, a Louisiana Republican.

Sponsored by the California News Publishers Association, to which this news organization belongs, Wicks' bill would work differently by requiring internet platforms to use binding arbitration to determine the percentage of advertising revenue to compensate news organizations. Australia and Canada have passed similar laws.

While the bill is backed by a number of print and broadcast news organizations, it is opposed by the ACLU of California, the California Chamber of Commerce, California Taxpayers Association, the Electronic Frontier Foundation and some online news organizations including CalMatters and Lookout Santa Cruz.

Critics argued the bill would promote sensational "clickbait" articles to drive up revenues, would force platforms to carry questionable content they oppose and wouldn't save dying newspapers anyway.

"This bill is a wealth transfer to the same billionaires at vulture capital funds that buy up newspapers for pennies on dollar," Katharine Trendacosta, associate director of policy for the Electronic Frontier Foundation, told the committee.

Wicks, who sits on the privacy and consumer protection committee, said her bill would require the news organizations receiving revenue from technology platforms to spend 70% of it on journalists and news production, and that platforms still could refuse content that violates their terms of service.

She said her bill "provides a lifeline for news outlets by directing some of the revenue from ad dollars back to the print, digital and broadcast media that bear the entire cost of gathering and reporting news while tech platforms bear none."

Lawmakers agreed in principal.

"You're not going to convince me that Google isn't profiting off the backs of journalists," said Assemblyman Bill

Essayli, a Riverside Republican, who added that "they need to pay for the content they're profiting off of."

But he and some others noted that tech platforms don't work the same way. Google connects users with websites featuring topics they're searching for, while Facebook, users — including journalists and publishers — post photos, videos and links to articles they want their followers to see.

I have reservations about a bill applying to social media where news agencies are voluntarily putting content on social media," Essayli said.

Committee Chair Jesse Gabriel, a Woodland Hills Democrat, said in voicing support that "this is something we need to do," but also acknowledged that "there's still more work that needs to be done here."

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